



China Ocean Shipping Company Americas, Inc

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Honorable Harold J. Creel
Chairman
Federal Maritime Commission
800 North Capitol Street
Washington, D.C. 20573

September 2, 1999

Dear Chairman Creel:

Re: FMC Docket No. P3-99

On behalf of China Ocean Shipping (Group) Company (COSCO) I am writing to urge the Commission to act favorably on COSCO's petition for a partial exemption from the Controlled Carrier Act. Under the Controlled Carrier Act, COSCO is required to wait for 30 days before a filed rate reduction could become effective. COSCO is the only carrier in the trade, including our home trade, who is subject to this restriction. All our competitors have the option to offer immediate rate reductions.

This difference in treatment puts COSCO at an unfair competitive disadvantage. It is true that COSCO's service contracts are not subject to the 30 days advance notice. However, significant amount of freight is moving by customers who do not wish to sign service contracts. These customers expect COSCO to react quickly to changing market conditions. COSCO's inability to react in a timely fashion drives customers and business away.

To prevent losing customers, COSCO has been forced to handle many smaller transactions via service contract, instead of publishing a simple rate reduction in our tariff. As a result, COSCO's administrative costs have increased greatly since May 1, 1999, when OSRA extended the Controlled Carrier Act and its 30 day filing requirement to COSCO's home market, China.

COSCO has asked the Commission to allow COSCO to publish rate reductions in its tariff that will take effect immediately. By granting COSCO's request, the Commission would be doing nothing more than putting COSCO on an equal competitive footing with the trades we serve.

Under U.S. law, COSCO is considered a "controlled carrier" subject to special oversight of its rates by the FMC. If COSCO's petition is granted, all of its rates will continue to be published in its tariff (or stated in service contracts filed with the Commission). We believe that the Commission can carry out its oversight responsibilities under the Controlled Carrier Act without subjecting COSCO to the unfair competitive disadvantage of publishing rate reductions on 30 days advance notice. Furthermore, as a member of both the TSA and the WTSA, COSCO has shown that it is committed to responsible pricing policies.

Therefore, we urge the Commission to act favorably and promptly on **COSCO's** petition.

Very truly yours,



Zhang Liyong
President

Cosco Americas Inc.